

*This **document** is the European Union's (EU) proposal for legal text provisions on energy and raw materials in the EU-Indonesia FTA. It will be tabled for discussion with Indonesia. The actual text in the final agreement will be a result of negotiations between the EU and Indonesia.*

DISCLAIMER: *The EU reserves the right to make subsequent modifications to this text and to complement its proposals at a later stage, by modifying, supplementing or withdrawing all, or any part, at any time.*

**[PROVISIONS IN RELATION TO TRADE IN GOODS ALREADY INCLUDED IN
THE EU TEXT PROPOSAL FOR THE TRADE IN GOODS CHAPTER]**

Article W.1

Import and Export Monopolies

1. No Party shall designate or maintain a designated import or export monopoly. For the purposes of this Article, import or export monopoly means the exclusive right or grant of authority by a Party to an entity to import a good from, or export a good to, the other Party.
2. For greater certainty, this Article is without prejudice to provisions in Chapter [XX] (Trade in Service and Investment) and Schedules, and does not include a right that results from the grant of an intellectual property right.

Article W.2

Transit

Article V of the GATT 1994 is hereby incorporated into this Agreement. The Parties recognize that Article V of GATT 1994 includes the movement of energy goods inter alia via pipelines or electricity grids.

[PROVISIONS IN RELATION TO SERVICES AND INVESTMENT TO BE INCLUDED IN THE RELEVANT CHAPTER]

Article X.1

Scope and Definitions

[Scope: provisions to be added]

“Authorisation” refers to the permission, license, concession or similar administrative or contractual instrument by which the competent authority of a Party entitles an entity to exercise a certain economic activity in its territory.

Article X.2

Authorisation for Exploration and Production of Energy Goods [Hydrocarbons; Electricity], Raw Materials [Ores and Concentrates] and Forestry Goods

1. If a Party requires an authorisation to explore for or produce energy goods [hydrocarbons; electricity], raw materials [ores and concentrates] and forestry goods, that Party shall grant such an authorisation in accordance with the conditions and procedures set out in Articles [X.X] and [X.X] of Section [XX] (Domestic Regulation).
2. That Party shall publish, inter alia, the type of authorisation, the relevant area or part thereof, and the proposed date or time limit for granting the authorisation, in such a manner as to enable potentially interested applicants to submit applications.
3. The Parties may grant authorisations without complying with the conditions and procedures set out in Articles [X.X] and [X.X] of Section [XX] (Domestic Regulation) in any of the following cases related to hydrocarbons:
 - (a) the area has been subject to a previous procedure complying with Articles [X.X] and [X.X] which has not resulted in an authorisation being granted;
 - (b) the area is available on a permanent basis for exploration or production; and
 - (c) the authorisation granted has been relinquished before its date of extinction.
4. Each Party may require an entity which has been granted an authorisation to pay a financial contribution or a contribution in kind. The contribution shall be fixed in such a manner so as not to interfere with the management and the decision-making process of the entity which has been granted an authorisation.
5. Each Party shall ensure that the applicant is provided with the reasons for the rejection of its application so as to enable such a person to have recourse to procedures for appeal

or review where necessary. The procedures for appeal or review shall be made public in advance.

Article X.3

Third-party Access to Energy Transport Infrastructure

1. Each Party shall ensure that owners or operators of transmission networks in its territory grant access to the energy infrastructure for the transport of gas and electricity of any entity of the Parties. Access to the energy infrastructure shall be granted within a reasonable period of time from the date of the request for access by that entity.
2. Notwithstanding paragraph 1 of this Article, a Party may introduce or maintain a limited list of derogations from the right to third party access based on objective criteria set out in legislation, provided that they are necessary to fulfil a legitimate policy objective.
3. Each Party shall ensure that entities of the Parties are accorded access to and use of energy transport infrastructure for the transport of gas and electricity on reasonable and non-discriminatory terms and conditions, including non-discrimination between types of energy, and at cost-reflective tariffs. Each party shall publish the terms, conditions and tariffs for the access to and use of energy transport infrastructure.
4. Each Party shall maintain or establish a regulatory body or any other independent body that is separate from, and not accountable to, operators providing or entities having access to energy transport infrastructure, and which shall be entrusted to resolve disputes regarding appropriate terms, conditions and tariffs for access and use within a reasonable period of time.

**[PROVISIONS IN RELATION TO THE PROMOTION OF RENEWABLE ENERGY
AND ENERGY EFFICIENCY TO BE INCLUDED IN THE RELEVANT CHAPTER]**

Article Y.1

Definitions

“Renewable energy” refers to a type of energy, including electric energy, produced from wind, solar, geothermal, hydrothermal and ocean energy, hydropower, biomass, landfill gas, sewage treatment plant gas or biogases;

“Energy efficiency” refers to a ratio of output of performance, service, goods or energy, to an input of energy;

“Standards” means [*as defined in the TBT Chapter*]; and

“Technical regulations” means [*as defined in the TBT Chapter*]

Article Y.2

Standards, Technical Regulations and Conformity Assessments

The Parties shall promote cooperation between the regulators and/or standardisation bodies located within their respective territories on energy efficiency and renewable energy, with a view to facilitating, inter alia:

- (a) the convergence, or harmonisation where possible, of their respective existing or applied standards on energy efficiency and renewable energy, based on mutual interest and reciprocity, and according to modalities to be agreed by the regulators and the standardisation bodies concerned;
- (b) the development of common standards on energy efficiency and renewable energy;
- (c) the sharing and discussion of innovation and research in the area of energy efficiency and renewable energy;
- (d) the joint analysis, methodologies and approaches, to assist and facilitate the development of relevant tests and measurement standards for energy efficiency and renewable energy goods, in cooperation with the relevant respective standardisation organisations;
- (e) the promotion of standards on renewable energy equipment and energy efficiency, including product design and labelling and, where appropriate, through existing international cooperation initiatives; and

Without prejudice

- (f) the exchange of information and best practices on domestic policy developments and international programs, and where appropriate through existing international cooperation initiatives.

Article Y.3

Mutual Recognition of Test Results

When the Parties request test reports in order to verify compliance with technical regulations or standards on energy efficiency, the Parties shall accept the test reports on energy efficiency issued by a laboratory accredited by an accreditation body signatory of the mutual recognition arrangements under the International Laboratory Accreditation Cooperation (ILAC) or International Accreditation Forum (IAF).

[PROVISIONS IN RELATION TO COOPERATION ON ENERGY AND RAW MATERIALS TO BE INCLUDED IN THE RELEVANT CHAPTER]

Article Z.1

Cooperation on Energy and Raw Materials

The Parties shall cooperate in the area of energy and raw materials with a view to, inter alia:

- (a) reduce or eliminate trade and investment distorting measures in third countries affecting energy and raw materials;
- (b) coordinate their positions in international fora where trade and investment issues related to energy and raw materials are discussed and foster international programmes in the areas of energy efficient, renewable energy and raw materials;
- (c) foster exchange of aggregated market data in the area of energy and raw materials;
- (d) promote research, development and innovation in the areas of energy efficiency, renewable energy and raw materials;
- (e) foster exchange of information and best practices on domestic policy developments; and
- (f) promote internationally high standards of safety and environmental protection for offshore oil, gas and mining operations, by increasing transparency, sharing information, including on industry safety and environmental performance.